

such as how to redeem shares, how to exchange shares to another fund, and any transaction limitations such as redemption fees or limits on the frequency of fund exchanges.

Once you have narrowed down the field, turn to the supplemental information provided by the fund's sponsor, including a precise description of the fund, performance statistics, and financial information. After giving appropriate, but not excessive, weight to the fund's past performance—including both capital return and income return—and following the selection criteria . . . you'll be ready to make your fund selections. The canny investor will look through this information and make sure that all or at least most of it has been provided. If it has not, there are lots of fish in the sea, and there are many similar funds from which to choose.

For the long-term investor, knowing the fund's objectives, investment policies, returns, risks, and total costs . . . is probably sufficient.

What is required is that you do your homework and demand useful information, including the fund's compound rate of return over an extended period, the comparative standards used to evaluate this record, a clear statement of risk, and a thorough presentation of cost factors. If enough investors follow this process of selecting funds on the basis of the substance, breadth, and fairness of the information they provide, only those funds that make adequate information available to investors will ultimately remain in business.

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If mutual fund investors become more cognizant of the costs they are paying in the form of sales loads, management fees,